Capital allowance

Content

3. Income from self-employment

e) Capital allowances

1. Overview of capital allowance

Tax adjusted trading profit/loss: accrual basis

Adjustment of profits	**£**
Profit/Loss before taxation per account	X/(X)
Add back: Disallowable expenditure for tax	X
Less: Non-trading income	(X)
Exempt income	(X)
Capital allowance	**(X)**
Tax adjusted trading profit/loss	X/(X)

1.1 Plant and machinery

Only plant and machinery for business use can claim capital allowances.

Business asset (use for trade)	
Plant and machinery	**NOT plant and machinery**
• Machinery • Plant • Car, van and lorries • Office equipment • Computer and software • Movable partitions wall • **Integral features**: electrical systems, lighting system, cold water systems, air-conditioning, lifts and escalators, space or water heating systems, powered systems of ventilation, cooling, or air purification	• Land • Building: offices, retail, premises, factories and warehouse • Structures: walls, floors, ceilings, doors, windows, stairs, bridges and tunnels

2 Proforma of capital allowance for individuals

Period of account	AIA	FYA	SRP	MP	SLA	PUA (%)	Allowances claimed
TWDV b/f							
Additions							
Disposals							
AIA							
Transfer to MP/SRP							
FYA 100%							
WDA 18%/6%							
TWDV c/f							

2 Proforma of capital allowance for individuals

TWDV b/f 期初数	Tax written down value brought forward at the beginning of the period of account.
＋ **Additions** ＋增加	When an asset is acquired, the purchase price increases the value of the pool. 本期购置成本。
－ **Disposal** －处置	When an asset is disposed of, the pool value is reduced by an amount which is lower of sale proceeds and original cost. 当资产被处置时，以售价记入减少值，但减少数不可超过初始成本；若处置时价值超过初始成本，可能会产生资本利得。
－ **Allowances**	AIA, FYA, BA/BC, WDA
＝TWDV c/f 期末数	Tax written down value carried forward.

3 Categories of qualifying assets

- Special rate pool
- Main pool
- Short-life asset
- Private-use asset

3.1 Special rate pool

- Long life assets with expected life of ≥ 25 years, such as aircraft, crane.
- Integral features, such as:
  - Electrical systems (e.g., lighting systems)
  - Cold water systems
  - Space or water heating systems
  - Powered systems of ventilation, cooling, or air purification - Lifts and escalators
- Motor cars with CO_2 emissions of more than 50g per kilometre

3.2 Main pool

Most capital expenditure on purchasing plant and machinery includes in main pool. Expenditure on assets in the main pool includes:

- All machinery, fixture and fittings and equipment
- Vans, forklift trucks, lorries, motorcycles
- Car with CO_2 emissions of between 1 and 50g per kilometer
- Second-hand cars with zero CO2 emissions

3.3 Short-life asset

•If an asset is expected to be disposed within 8 years, taxpayer could elect to treat this asset as short life asset, which is the single asset pool.

•De-pooling election made by company – irrevocable

•Car could not be classified as short life asset.

•If the asset is not disposed within 8 years, TWDV will go back to main pool.

3.4 Private-use asset

- The asset partly private used by a sole trader or a partner must be the single asset pool.
- The business use proportion of the allowances includes in the capital allowance.
- The asset partly private used by an employee is not private used asset.
- Reduce TWDV by full amount of WDA available.
- Only actually give the amount of WDA relevant to his business use.

3.5 Summary for car

- Zero-emission car: CO_2 emissions= 0g /kilometer
- Main Pool : 1g /kilometer ≤CO_2 emissions≤ 50g /kilometer
  or second-hand cars with zero CO_2 emissions
- Special Rate Pool : 50g /kilometer ＜ CO_2 emissions

4 Capital allowance computation for individuals

4.1 Annual Investment Allowance (AIA)

- Condition

AIA applies to all New purchase of plant and machinery during the accounting period with the exception of cars.

- Calculation

AIA maximum = £1,000,000 × $\frac{m}{12}$

m = No. of months in Period of account

- Order of use AIA.

Tax efficient order (maximum allowance): Special rate pool asset

→ Main pool asset

Lecture example 1

For the six months ended 31 March 2026, Poppy made the following purchases:

	£
Second-hand machinery with expected life more than 25 years	200,000
A new office equipment	100,000

Calculate Poppy's capital allowance claim for the period ended 31 March 2026.

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4.2 First Year Allowance (FYA) - zero-emissions car

- Condition

FYA applies to purchase of New electric-powered cars with zero emissions during the period of account.

- Calculation

FYA = 100% × Purchase cost

4.3 Writing Down Allowances (WDA)

- Condition

For plant and machinery still in use.

- Calculation

1.TWDV in the special rate pool/ main pool < £1,000 × m/12

m = No. of months in Period of account

WDA = small pool WDA = 100%TWDV

2.TWDV > £1,000 × m/12

WDA = TWDV × Rate × m/12 (m = No. of months in Period of account)

4.3 Writing Down Allowances (WDA)

Categories of Asset	Rate
Main pool	18%
Special rate pool	6%
Short life asset	18%
Private-use asset	18% / 6% / no claim

Lecture example 2

Anna is a sole trader. She has plant and machinery with a tax written down value of £560 on 1 July 2025. During the nine-month period of account to 31 March 2026, she purchased a computer for £8,000.

Identifies the maximum amount of capital allowances available to Anna for the nine months ended 31 March 2026.

3.4 Private-use asset

•The asset partly private used by a sole trader or a partner must be the single asset pool.

•The business use proportion of the allowances includes in the capital allowance.

•The asset partly private used by an employee is not private used asset.

•Reduce TWDV by full amount of WDA available.

•Only actually give the amount of WDA relevant to his business use.

Lecture example 3

Felipe starts to trade on 1 April 2025 and prepares accounts to 31 March each year. Felipe buys two cars for his business on 30 June 2026.

Car 1 was bought for £18,000, has CO_2 emission 70g/km, which he uses privately 20% of the time.

Car 2 was bought for £15,000, has CO_2 emission 10g/km and is used privately by an employee, Juan, 50% of the time.

Calculate his capital allowances for the year ended 31 March 2026.

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4.4 Balancing allowance (BA) & Balancing charge (BC)

Condition 1:

- A separate column asset (private used asset and short life asset) is sold at going concern， or

The balancing figure of special rate pool or main pool after disposal is negative at going concern.

Calculation

- Disposal value ＞ TWDV → Balancing charge
- Disposal value ＜ TWDV → Balancing allowance

Lecture example 4

Paper prepares accounts to 31 March each year. On 1 April 2025 the tax written down values of plant and machinery were as follows:

Main pool	£4,000
Short life asset	£15,000

The following transactions took place during the year ended 31 March 2026:

2025.9.1	Sold a printing machine (original cost £300,000)	£500,000
2025.10.7	Purchase a second-hand office equipment	£1,200,000
2026.2.14	Sold the short life asset	£20,000

Calculate Paper's capital allowances for year ended 31 March 2026.

4.4 Balancing allowance (BA) & Balancing charge (BC)

Condition 2:

- Cessation of business:

All assets deemed disposal at market value

- ✓ TWDV c/f equals zero at the end.
- ✓ Instead of calculate any AIAs, WDAs and FYAs, only balancing charge (BC) or a balancing allowance (BA) will arise.

Lecture example 5

Deepspace ceased to trade on 31 December 2025 after several years in business. The last period of account for business was 9 months period to 31 December 2025. On 1 April 2025 the TWDV values of plant and machinery were as follows:

	£
Main pool	12,000
Special rate pool (integral features)	18,000

Lecture example 5

The following transactions took place during the period ended 31 December 2025:

		£
2025.4.15	Purchased a second-hand van	5,000
2025.8.31	Purchased a car, CO_2 emissions 72 g/km	22,000
2025.9.2	Sold a truck (original cost £18,000)	(9,800)

Deepspace gave the car to one of employees when the market value was £20,000. Deepspace scrapped the integral features for no consideration and sold the other assets for £10,000.

Calculate Deepspace 's capital allowances for period ended 31 December 2025.

5. Structures and buildings allowances (SBA)

- Condition

Available assets: buildings (offices, retail, wholesale premises, factories, warehouses) and structure (walls, bridges and tunnels) used for trade or property letting

- Calculation

$$\text{SBA} = 3\% \times \text{Cost} \times \frac{\text{m}}{12}$$

m = no. of months used in this period of account (for individuals)

5. Structures and buildings allowances (SBA)

- The annual straight-line allowance is 3% over a 33 years and four months.
- Only available for the original purchase cost, cost of subsequent improvement or renovated and converted cost after 29 October 2018
- The value of the land is excluded, as is any part of a building not used as a trade or property letting (such as a dwelling house)
- You should assume that for any question involving the purchase of a building, the SBA is not available unless stated otherwise.

5. Structures and buildings allowances (SBA)

Disposal (CGT)

- The purchaser: simply continues to claim the 3% allowance for the remainder of the 33 1/3 year period based on original cost (excluding the value of the land) of the seller.
- The seller: adding back the SBA already been claimed to the sales proceeds to calculate CGT. Remember, the sale proceeds and the acquisition cost should include the value of the land.

Lecture example 6

Hipster prepares accounts to 31 March. On 1 July 2025, he purchased a newly constructed factory from a builder for £470,000 (including land of £110,000). The factory was brought into use on 1 September 2025.

- The SBA for the year ended 31 March 2026 is £6,300 (360,000 at 3% x 7/12).

- An allowance of £10,800 (360,000 at 3%) will be given in subsequent years.

Lecture example 6

He renovated the factory at a cost of £82,000 on 1 January 2026.

- SBA for the renovation cost for the year ended 31 March 2026 is £615 (82,000 at 3% x 3/12).

Lecture example 6

Hipster sold its factory to Gentrified on 31 March 2026 for £500,000 (including land of £120,000). Gentrified also prepares accounts to 31 March.

For Hipster:

Capital gain or loss = (Sale proceeds of building and land + SBA that have been claimed)- purchase cost of building and land

(500,000 + 6,300 + 615 – 470,000)= £36,915

Lecture example 6

Hipster sold its factory to Gentrified on 31 March 2026 for £500,000 (including land of £120,000). Gentrified also prepares accounts to 31 March.

For Gentrified:

SBA = £10,800 (360,000 at 3%) annually

- based on the original cost to Hipster
- for the remaining 32 years and nine months of the 33⅓ year period that commenced on 1 September 2025

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Practice(do by yourself first)

Venus is a sole trader and has prepared accounts to 31 March each year. At 1 April 2025, the tax written down value of her main pool was £60,000. She decides to make up her next set of accounts to 31 December 2025.
In the period to 31 December 2025, the following acquisitions were made:

1 May 2025 Plant	£770,000
10 July 2025 Car(CO2 emissions 40 g/km)	£9,000
3 August 2025 Car (CO2 emissions 0 g/km) – new	£11,000

Venus disposed of plant on 1 December 2025 for £20,000 (original cost £28,000).

Calculate the maximum capital allowances that Venus can claim for the period ending 31 December 2025.

Quizzes(self-practice)

Quiz 1

Which of the following fixtures included in buildings can qualify as plant and machinery?

(1) Cold water, gas and electrical systems
(2) Moveable partitions
(3) Lifts, hoists and escalators
(4) Gates, shutters and windows

A.1, 2 and 3
B.1, 3 and 4
C.2, 3 and 4
D.1, 2 and 4

Quiz 1-A

The correct answer is **A**.
Gates, shutters and windows are part of the building and so cannot qualify as plant and machinery.

Quiz 2

Chloe commenced trading on 1 January 2025, preparing her first accounts to 31 March 2026. She elected to use the accruals basis.
Plant and machinery additions in this time were:

1 June 2025	Car 1 – CO_2 emissions 50 grams/km	£12,000
1 December 2025	Car 2 – zero emission electric car	£15,000
1 March 2026	Car 3 – CO_2 emissions 48 grams/km	£18,000

Chloe's private use of car 3 is 50%.

Quiz 2

What will Chloe's capital allowances claim be for the accounting period ended 31 March 2026?

A.£21,750
B.£19,725
C.£18,780
D.£8,100

Quiz 2-A

The correct answer is **B**.

15 months ended 31 March 2026		**Main pool**	**Car 3 (50% private)***	**Claim**
	£	£	£	£
Additions (no FYA)				
Car 1 CO_2 (50 grams/km)		12,000		
Car 3 CO_2 (48 grams/km)			18,000	
		12,000	18,000	
WDA				
—18% × 15/12		(2,700)		2,700
—18% × 15/12			(4,050)	
			× 50%	2,025
Additions with FYA				
Car 2 zero emission electric car	15,000			
Less: 100% FYA	(15,000)			15,000
TWDV c/f	0	9,300	13,950	
Allowances				19,725

Quiz 3

Chris prepares accounts to 31 March each year and ceased trading on 31 March 2026. He had elected to use the accruals basis.

On 1 April 2025, the tax written down value of his main pool was £6,000. On 1 November 2025, Chris purchased a computer for £2,000. All of the items included in the main pool were sold for £10,000 on 31 March 2026.

What balancing charge will arise for Chris on the disposal in the tax year 2025-26?

A.£5,080
B.£3,440
C.£2,000
D.£4,000

Quiz 3-A

The correct answer is **C**.

Year ended 31 March 2026	**Main pool**	**Claim**
	£	£
WDV b/f	6,000	
Addition: Computer	2,000	
	8,000	
Disposal proceeds	(10,000)	
	(2,000)	
Balancing charge	2,000	(2,000)
TWDV c/f	0	
Allowances		(2,000)



谢谢观看

THANK FOR WATCHING